



Organisation Strategy and HRM- meeting 3

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Take notes and do exercises

- It will help you remember!!!



Warming up

- Imagine you would need to look for a place to establish your organisation. Based on what aspects will you make your decision?
- Write down opportunities and threats of 1) Berlin, 2) India and 3) Silicon Valley.



BERLIN		INDIA		SILICON VALLEY	
THREATS	OPPORTUNITIES	THREATS	OPPORTUNITIES	THREATS	OPPORTUNITIES

CLICK THE PAUSE BUTTON AND DO THAT EXERCISE NOW

Meeting 3

- Short recap meeting 2
- DESTEP
- Five forces within an industry by Michael Porter
- Opportunities and Threats
- SWOT

Read the book for more background information

McKinsey & Company

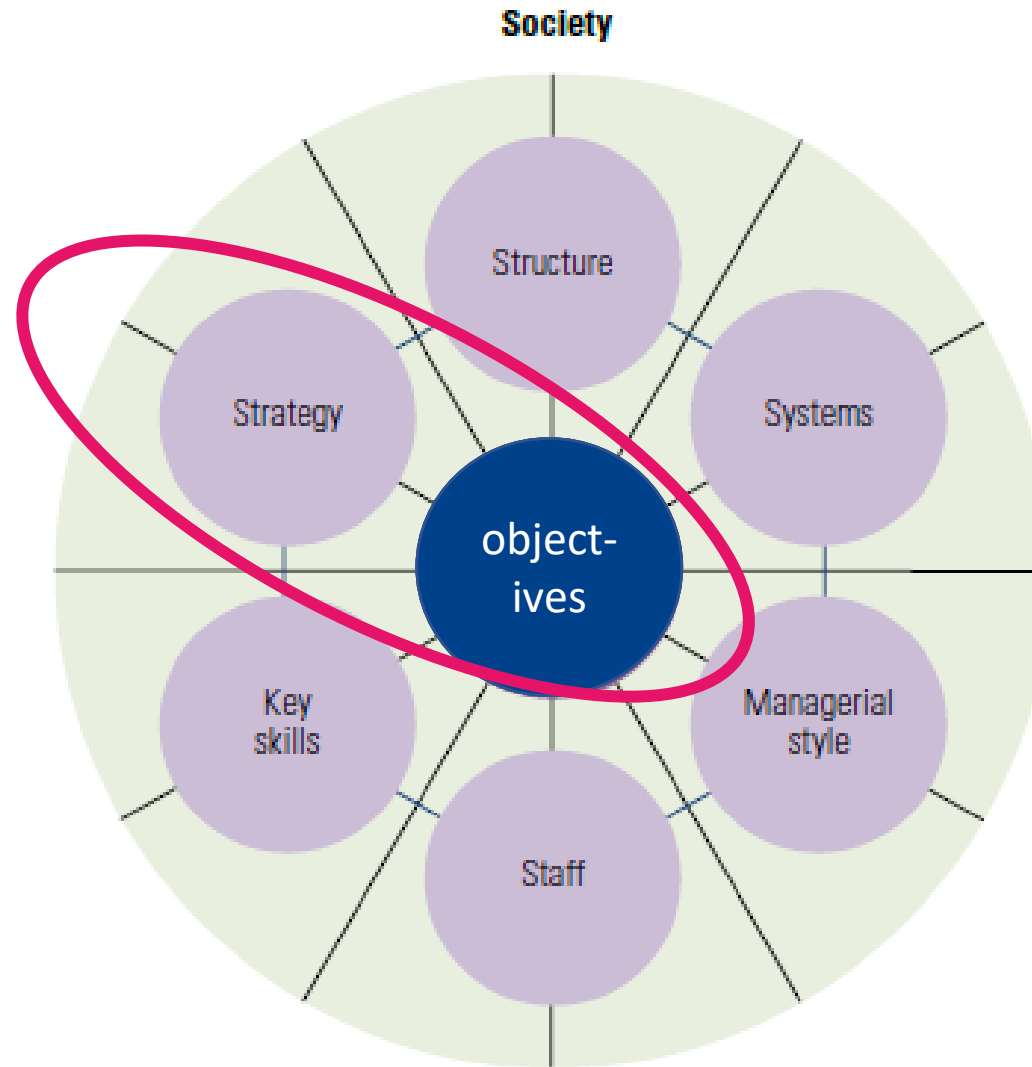
Read the book for more background information



- **Strategy:** the plan devised to maintain and build competitive advantage over the competition.
- **Structure:** the way the organization is structured and who reports to whom.
- **Systems:** the daily activities and procedures that staff members engage in to get the job done.
- **Shared Values:** called "superordinate goals" when the model was first developed, these are the core values of the company that are evidenced in the corporate culture and the general work ethic.
- **Style:** the style of leadership adopted.
- **Staff:** the employees and their general capabilities.
- **Skills:** the actual skills and competencies of the employees working for the company.

FIGURE 2.3 7-S-MODEL

7-s model



Strategy: how to reach the goals (following mission and vision)
- See also slides of the first meeting

Porter's Value Chain Model

Primary Activities



Firm Infrastructure

Human Resource Management

Procurement

Technology

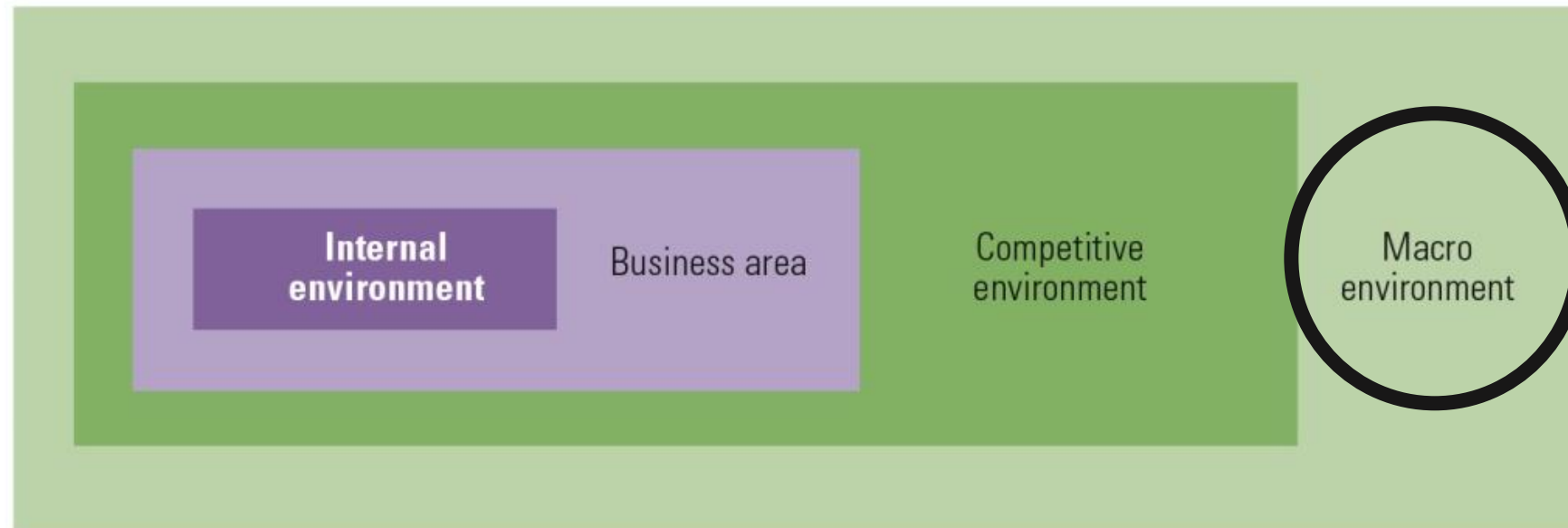
Support Activities

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Meeting 3

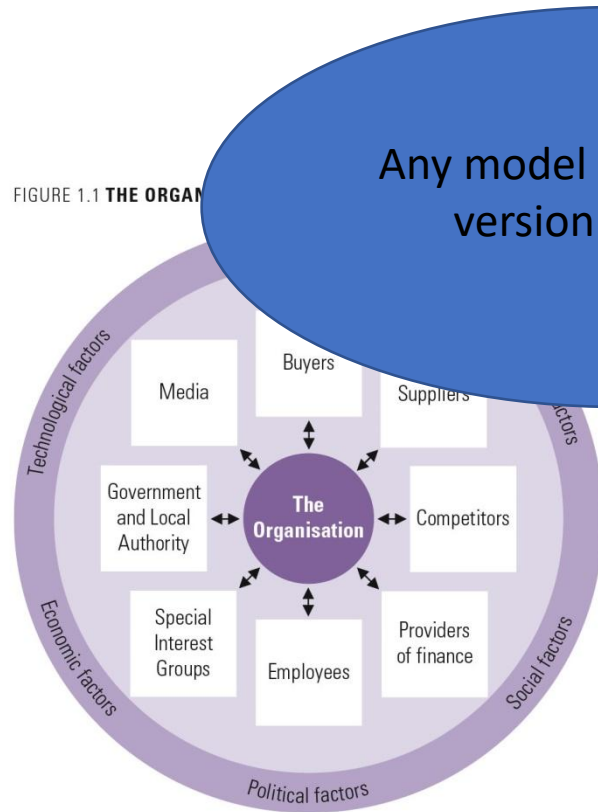
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FIGURE 2.10 **THE STRUCTURE OF THE EXTERNAL COMPONENTS**



The external environment- DESTEP

FIGURE 1.1 THE ORGANISATION



Any model is a simplified version of reality.

Macro environment
D- emographical
E- conomical
S- ocio-cultural
T- echnical
E- cological
P- olitical

Although we want to understand and categorise our external environment it is always and undoubtedly intertwined!!!!

Who will buy my products or use my services? Who will work for me?

Demographic factors

- Age and sex distribution
- Live expectancy
- Population size
- Population density
- Occupations
- Gender structure
- Nationalities
- Ethnicities
- ...



Economic Factors

How much can people pay for my products or services?
How much do I need to pay my employees?

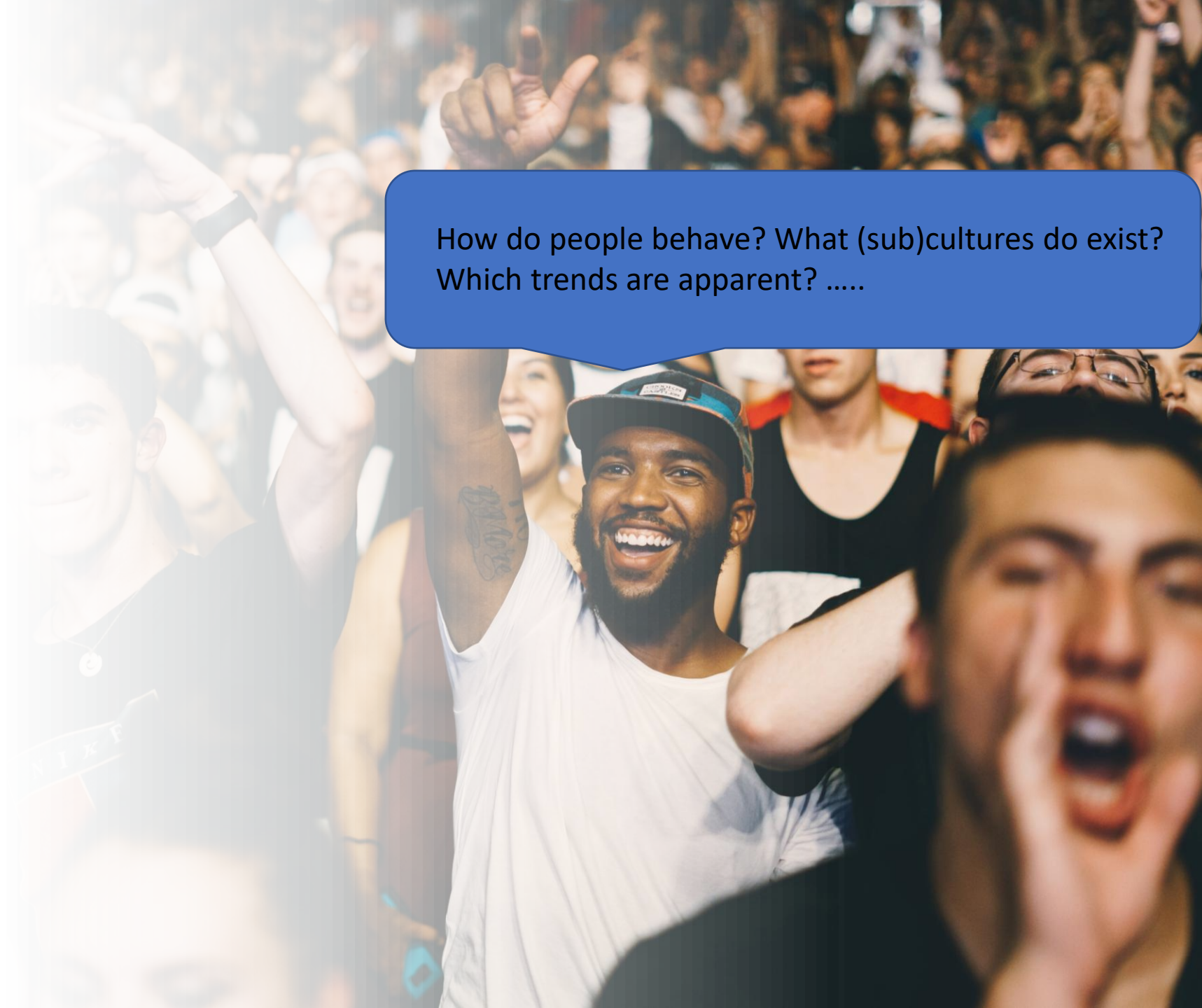


- Level of economic development
- GDP
- Rate of inflation
- Wage levels / labour costs
- Level of unemployment
- Strength of currency
- Taxation structure / rates
- Income distribution
- Purchasing power
- Spending patterns
- ...



Socio-cultural factors

- Languages
- Religious and cultural groupings
- Educational attainment
- Level of social cohesion
- Press / social attitudes
- Life style attitudes and role of women
- ...



How do people behave? What (sub)cultures do exist?
Which trends are apparent?

Technological factors

What kind of technologies do people use? What are the costs and possibilities for getting electricity? How is the internet coverage in that area?

- R&D activity
- Patent / copyright protection
- Transport infrastructure
- Energy availability / costs
- Availability of skilled workforce
- Level / impact of technology adoption and transfer
- Impact of emerging technologies

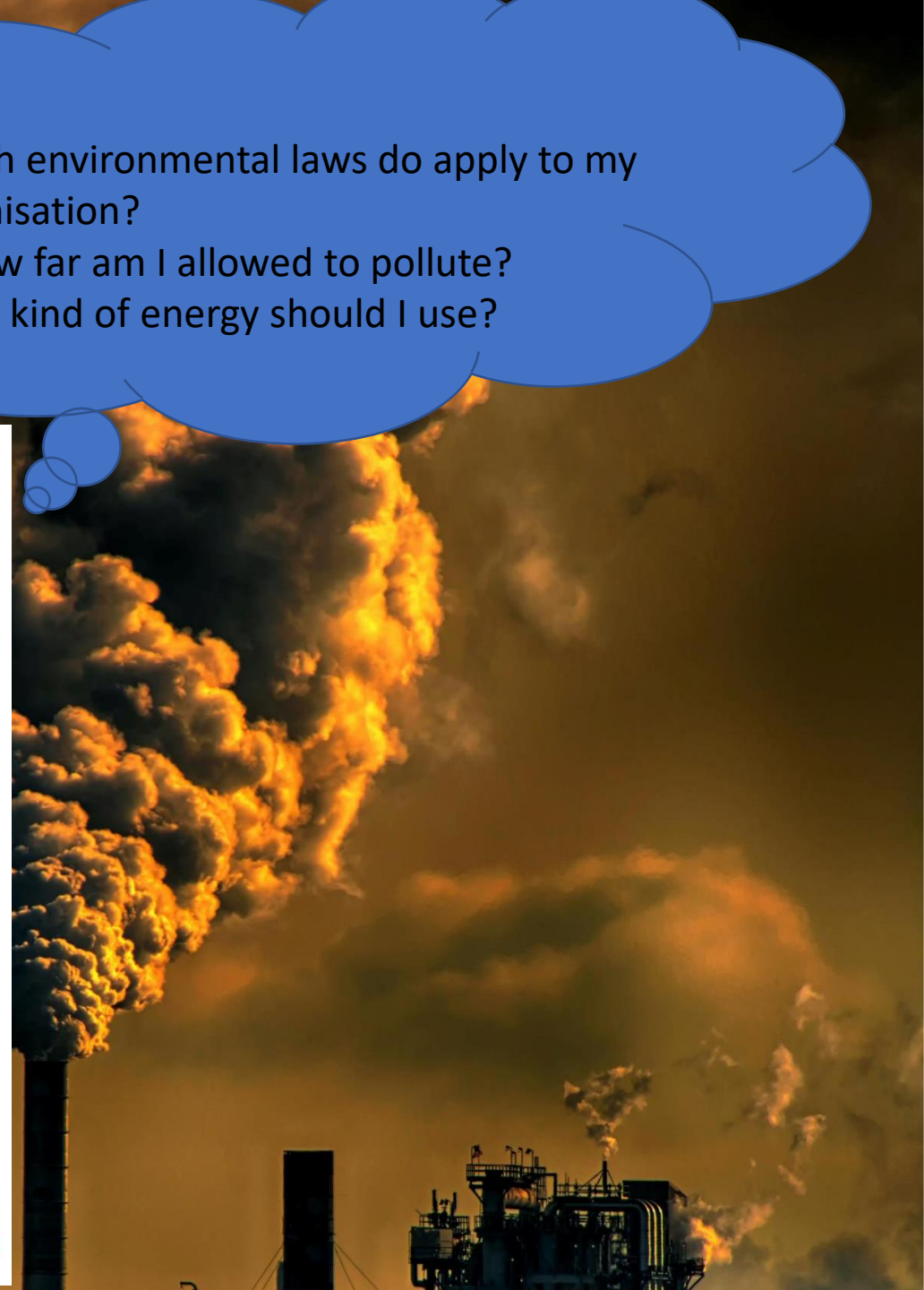


Ecological (or environmental) factors

- Government attitude / policies / regulations
- Planning and building controls
- Recycling issues and costs
- Energy / water availability and consumption
- Sector specific issues
- ...



Which environmental laws do apply to my organisation?
In how far am I allowed to pollute?
What kind of energy should I use?



Political factors

- Levels of law and corruption
- Competition law and policy
- Business ownership regulation
- Employment law
- Consumer protection
- Sector specific laws
- ...

What are trends in politics? What kind of rules are there when it comes to employment? In how far are consumers protected?
May, should I pay politicians?



Formulate conclusion of DESTEP in your portfolio

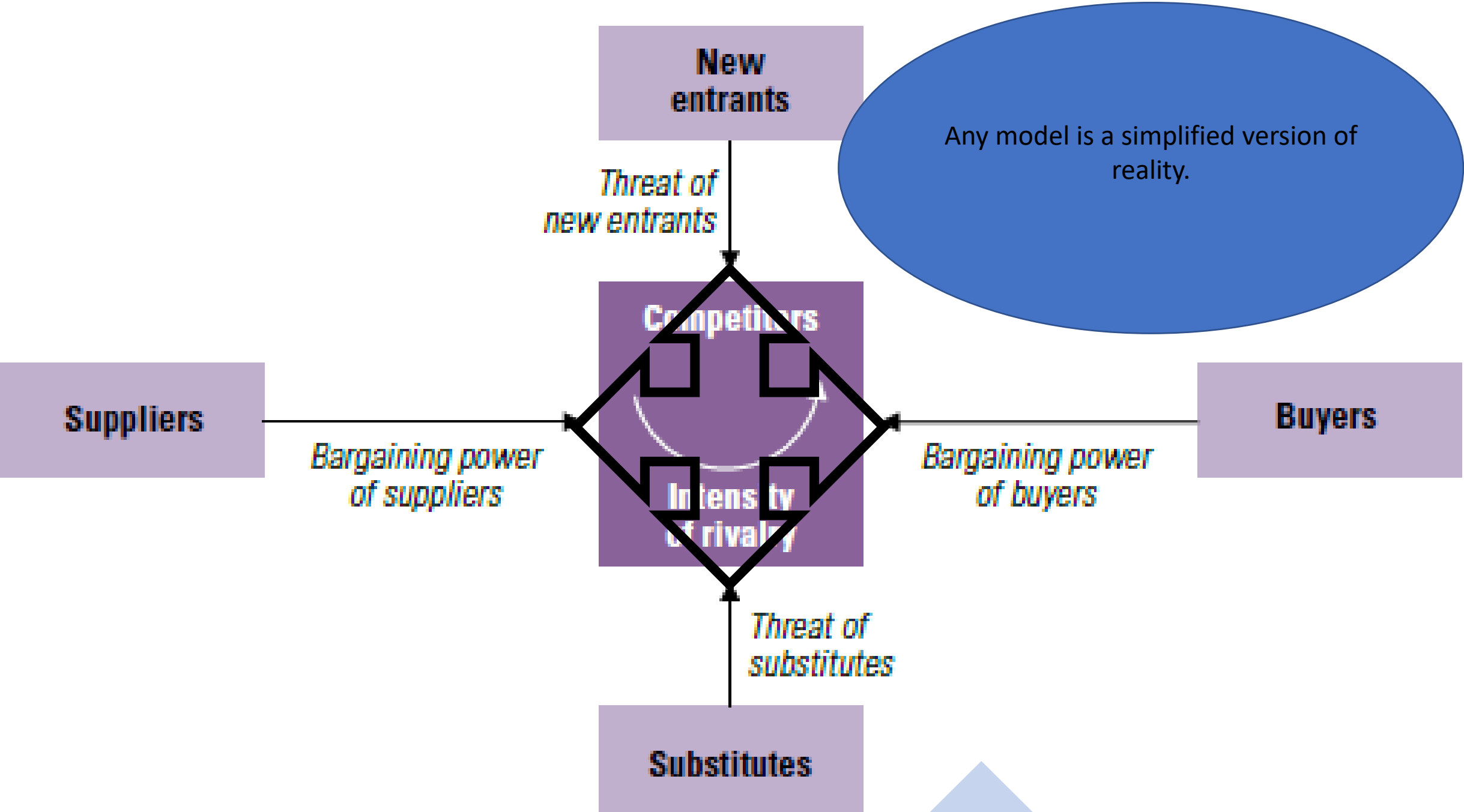
- Do NOT sum up findings per letter but CONCLUDE per letter.
- Relate it to your organisation.
- Goal is to find opportunities and threats in the broader external environment.
 - The macro environment

Huge implications for your strategy!

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FIGURE 2.12 THE FIVE COMPETITIVE FORCES



How easy is it for others to enter the industry?

Threat of new entrants

- Low amount of capital is required to enter a market.
- Existing companies can do little to retaliate.
- Existing firms do not possess patents, trademarks or do not have an established brand reputation.
- There is no government regulation.
- Customer switching costs are low (it doesn't cost a lot of money for a firm to switch to other industries)
- There is low customer loyalty.
- Products are nearly identical.
- Economies of scale can be easily achieved.





Bargaining power of suppliers

- There are few suppliers but many buyers.
- Suppliers are large and threaten to forward integrate.
- Few substitute raw materials exist.
- Suppliers hold on to scarce resources.
- Cost of switching raw materials is especially high.

Bargaining power of buyers

- Buying in large quantities or control many access points to the final customer.
- Only few buyers exist.
- Switching costs to another supplier are low.
- They threaten to integrate backwards
- There are many substitutes.
- Buyers are price sensitive.



Threat of substitutes

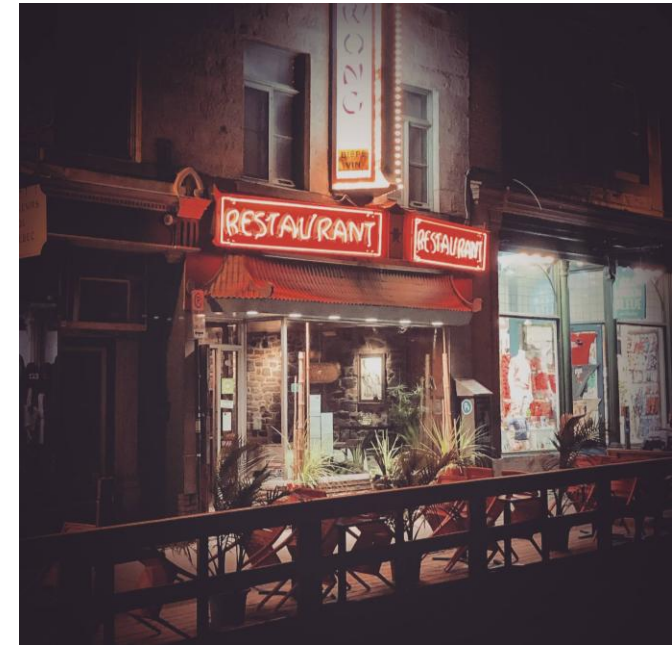
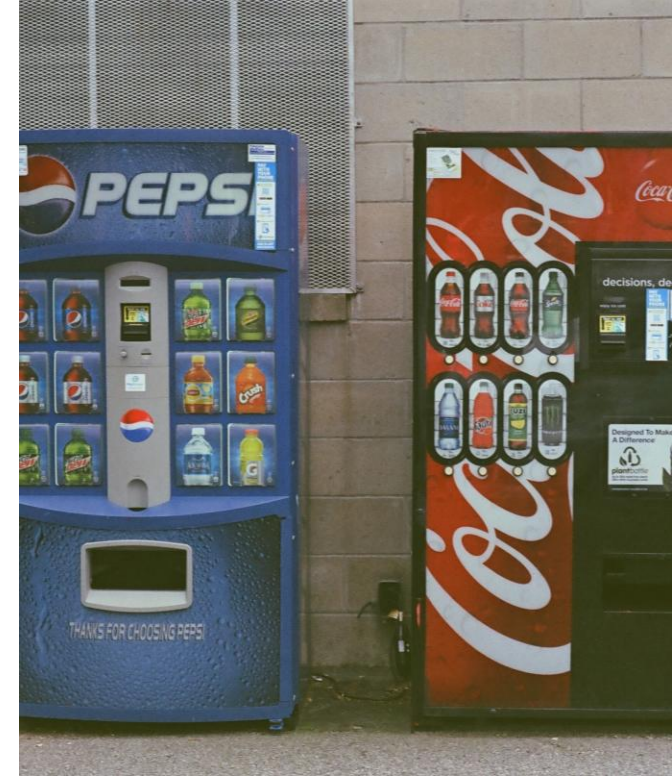
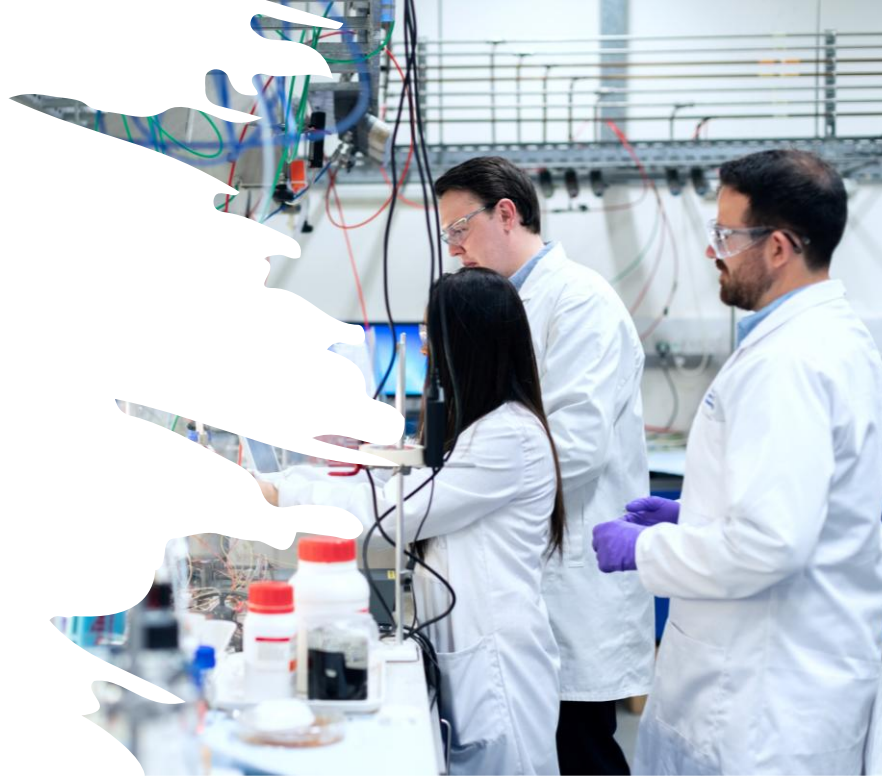
- Threatening when buyers can easily find substitute products with attractive prices or better quality.
- When buyers can switch from one product or service to another with little cost.
 - switch from coffee to tea doesn't cost anything, unlike switching from car to bicycle.



Rivalry among existing competitors

Intensity of Rivalry.

- There are many competitors.
- Exit barriers are high.
- Industry of growth is slow or negative.
- Products are not differentiated and can be easily substituted.
- Competitors are of equal size.
- Low customer loyalty.



Conclusion

- Rate every force as low, medium or high impact based on your findings
- Intensity of Rivalry is the most important force which is strongly influenced by the other 4 forces.
- Conclude per force, do not sum up.

Meeting 3

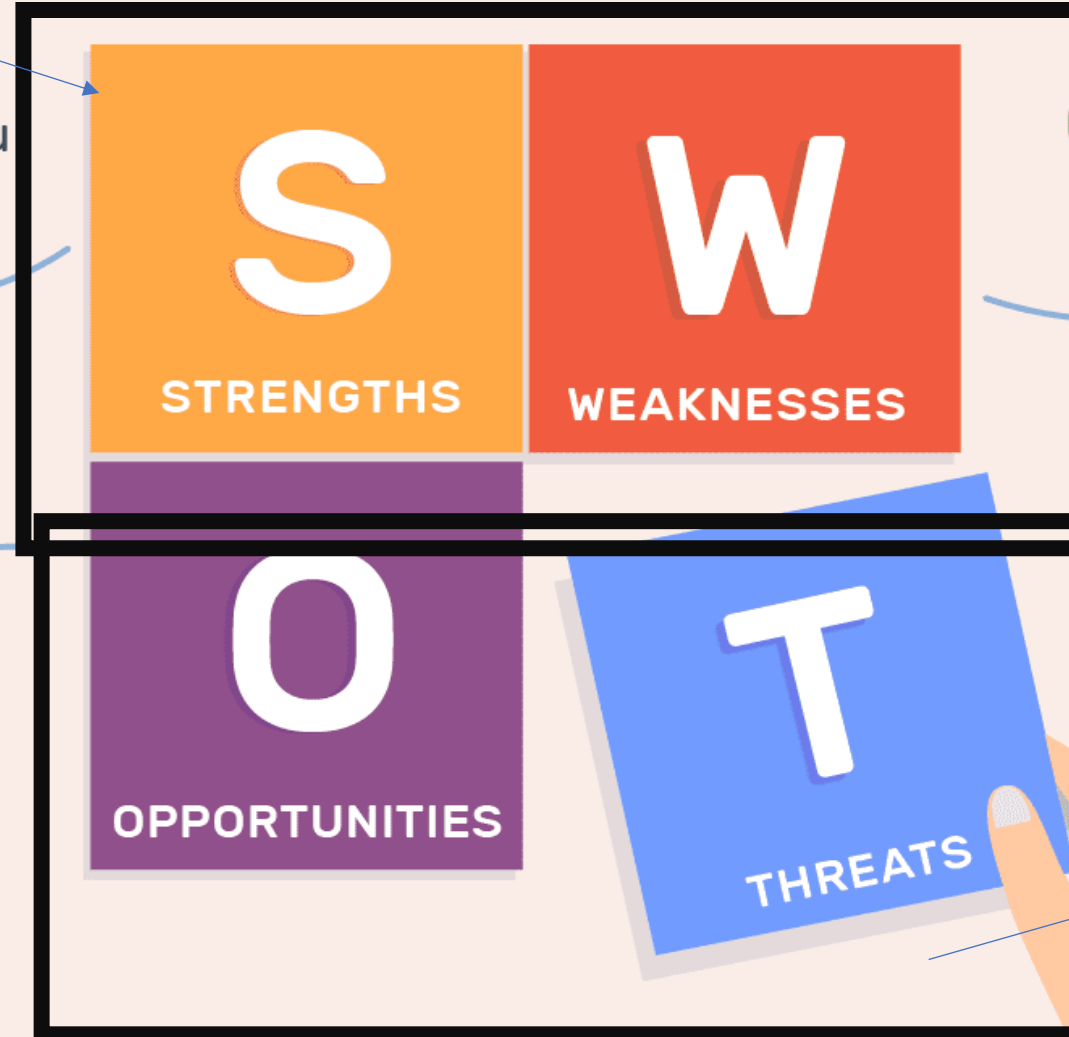
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How to Conduct a SWOT Analysis for Your Small Business

Internal environment



What do you do well?



Where do you need to improve?



What are your goals?

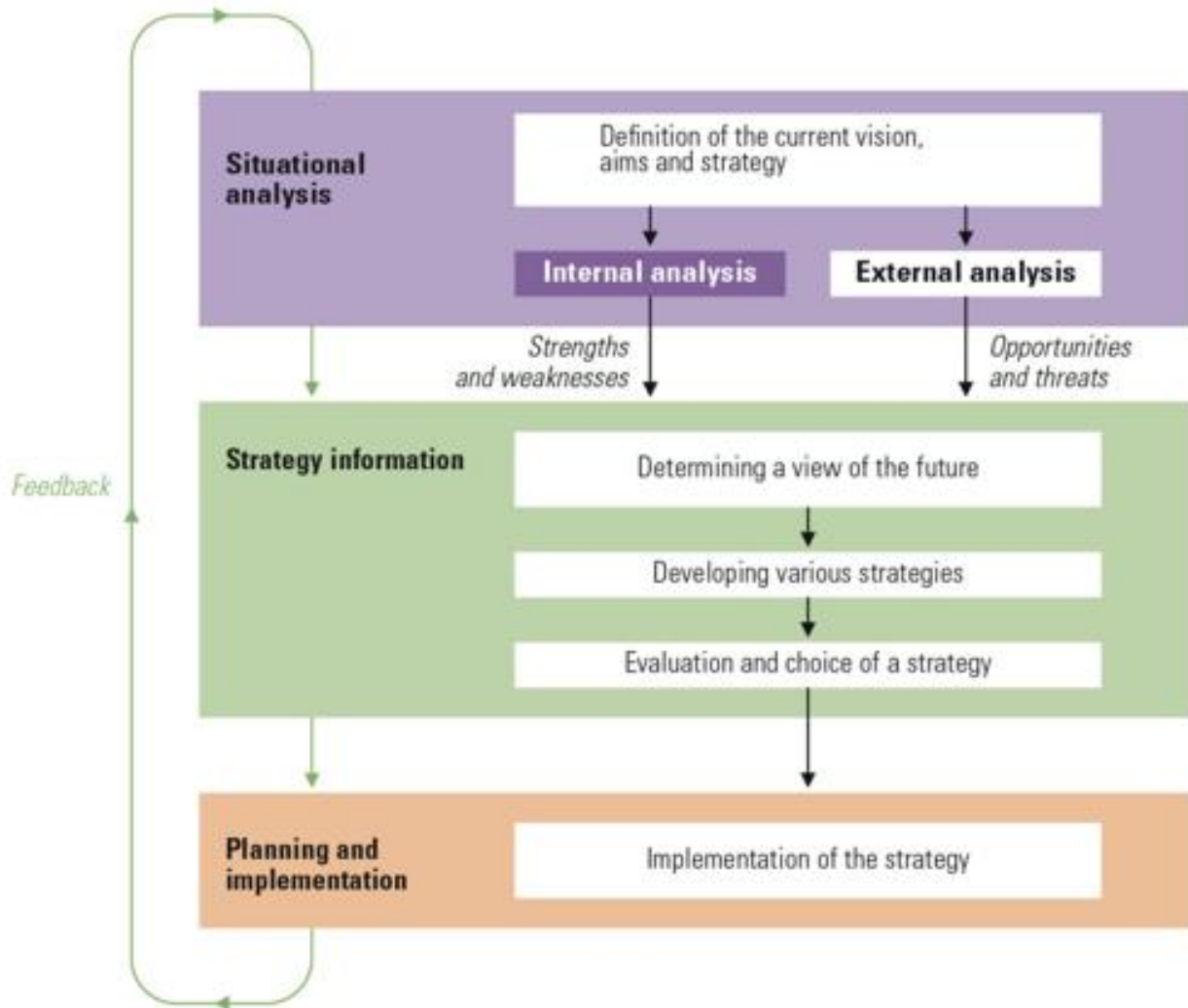


What obstacles do you face?

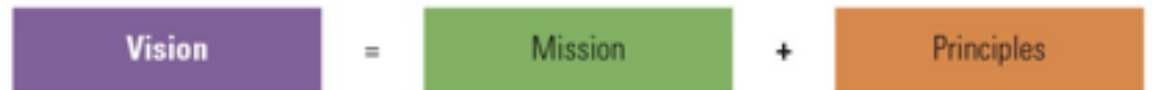
External environment

The strategic management process

From meeting 1



Elements of an organisation



Warming up

- Imagine you would need to look for a place to establish your organisation. Based on what aspects will you make your decision?
- Write down one opportunity and one threat of 1) the city Berlin, 2) India and 3) Silicon Valley



Whether some factor is rather considered to be a threat or an opportunity is of course related to the business (industry) itself.

!!! ANY threat and opportunity needs to be backed up by decent research and reasoning in your portfolio!!!

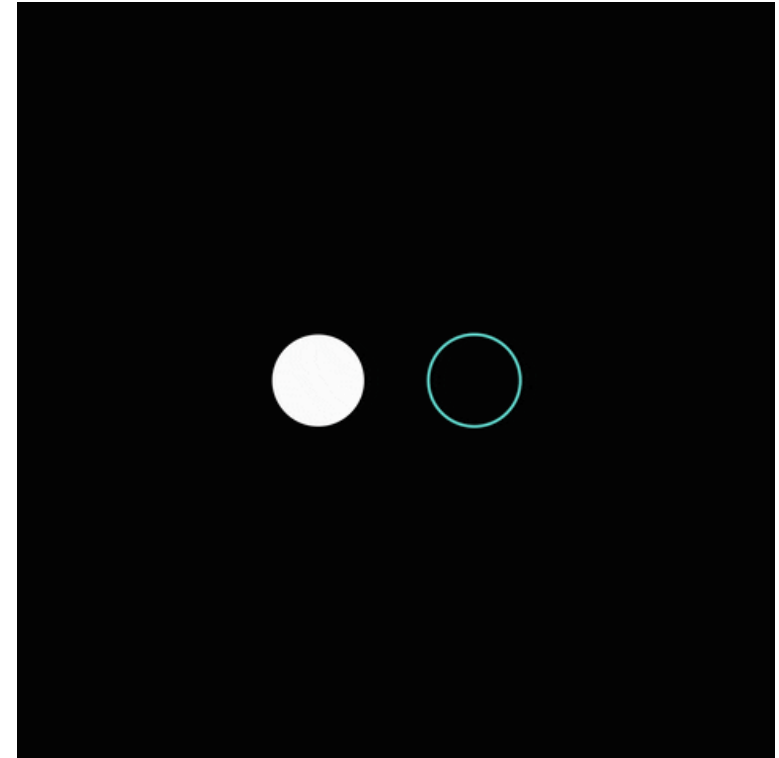
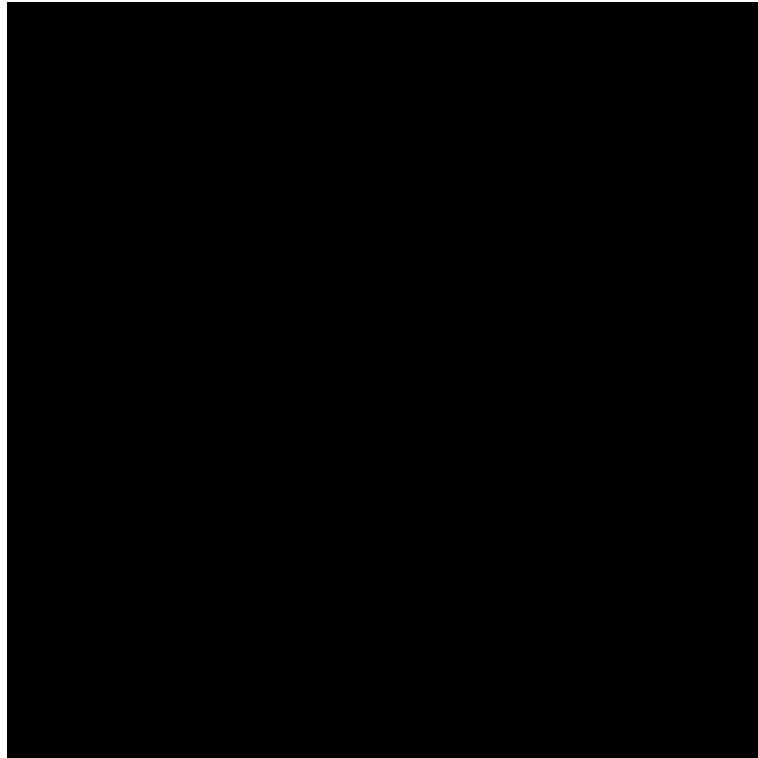
BERLIN		INDIA		SILICON VALLEY	
THREATS	OPPORTUNITIES	THREATS	OPPORTUNITIES	THREATS	OPPORTUNITIES
DIFFICULT TO SEGMENT	ROOM FOR NICHE PRODUCTS	CHINESE ORGANISATIONS	BIG POPULATION	INTENSE COMPETITION	ADJACENT TO UNIVERSITIES
SOCIAL POLITICS	DENSE POPULATION	CORRUPTION	DEVELOPING ECONOMY	ORGANISATIONS HAVE A BAD IMAGE	GOOD NETWORK OF OTHER ORGANISATIONS
RISING RENT PRICES	MANY PEOPLE SPEAK ENGLISH	WAR	ENGLISH SKILLS	TRADE WAR WITH CHINA	PRO BUSINESS POLITICS
HIGH LABOUR COSTS	SKILLED LABOUR FORCE	SKILLS OF LABOUR FORCE LIMITED	LOW LABOUR COSTS	OLD BOYS NETWORK	WORLD WIDE NETWORK
POWER OF UNIONS	INFRASTRUCTURE	INFRASTRUCTURE	BIG AND DIVERSE MARKET	STRONG LOBBYISM	ACCES TO WATER, ELECTRICTY, INTERNET
GERMAN REGULATIONS	START-UP SUPPORT	ACCESS TO WATER, ELECTRICITY, INTERNET	BIG SERVICE SECTOR	HIGH RENTS	FAST ADOPTION RATE OF TECHNOLOGY



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Next meeting...

Ansoff Matrix, Confrontation matrix, strategic options



TV LAND

**THANK YOU
FOR LISTENING**